

INDIAN ECONOMY

LEVEL
II



FOXCONN®



LECTURES

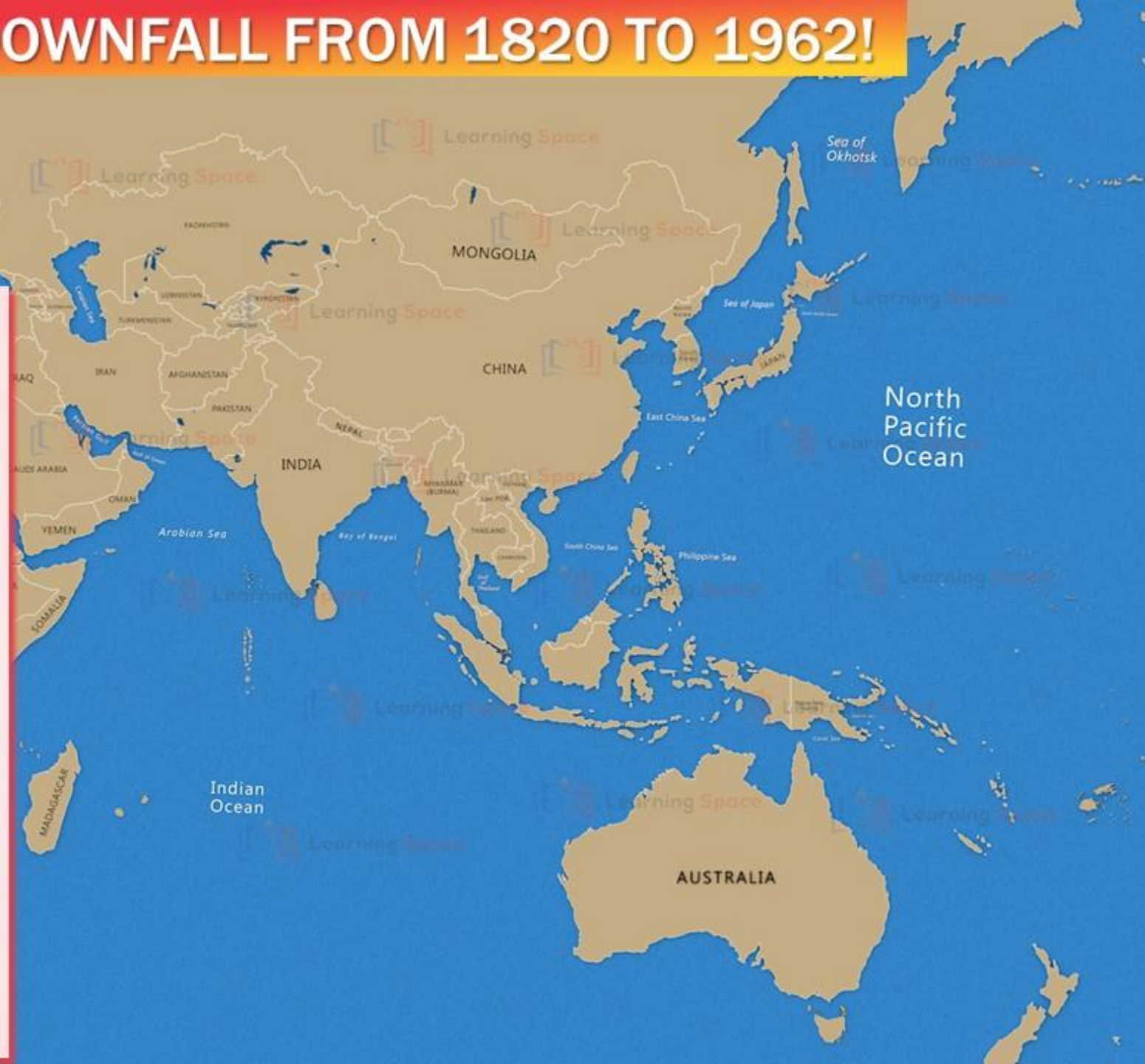
- DOWNFALL AND RESURGENCE OF ASIA
- MANUFACTURING ECOSYSTEM IN CHINA AND NIEs

MODULE - 14



ASIA ... WHAT A DOWNFALL FROM 1820 TO 1962!

- Two centuries ago, in 1820, Asia accounted for two-thirds of the World's population and more than half of the World's income.
- It also contributed to more than a half of manufacturing production in the World economy.
- Subsequent decline is associated with colonialism and driven by imperialism.
- By 1962, its share in world income had plummeted to 15%, while its share in world manufacturing dropped to 6%.



INDIA WAS THE GLOBAL LEADER IN THE 1st CENTURY AD!

- As per a seminal work by Angus Maddison, published by OECD in 2001, India's share of worldwide GDP in the 1st century AD was 32.9%.
- A millennium later, in 11th century AD, India continued to be the biggest economy with a share of 28.9 per cent in global GDP.
- Prior to the beginning of colonial rule, in the 18th century, India's share in global GDP declined to 16%.
- With the onset of colonial rule and its concomitant wealth drain, India's share in world GDP was reduced to a mere 4% by 1950.

Today, India's share in world output remains in between 3% to 4% in nominal terms, whereas the share in world population has increased to 18%!



Our share in global manufacturing, which was also more than 20% prior to the de-industrialisation under colonial rule plummeted to 2% by 1947. By 2019, we have managed to increase it only to around 3.1%.

TURN-AROUND SINCE 1962 IN ASIA



- In the half century since then, Asia witnessed a profound transformation.
- By 2016, it accounted for 30% of world income, 40% of world manufacturing and over a third of world trade.
- Its income per capita also converged towards the world average and however, the convergence was at best modest.
- However, the transformation was unequal across the countries and between people.



THE TURN-AROUND IS UNEQUAL ACROSS COUNTRIES AND GEOGRAPHIES!



- 1 ➤ There were marked differences between countries in
 - ✓ Geographical size
 - ✓ Embedded histories
 - ✓ Colonial legacies
 - ✓ Nationalist movements
 - ✓ Initial conditions
 - ✓ Natural resource endowments
 - ✓ Population size
 - ✓ Income levels and
 - ✓ Political systems.

- 2 The reliance on markets and degree of openness in economies varied greatly across countries and over time.

- 3 East Asia was the leader, South Asia was the laggard, Southeast Asia is in the middle.

- 4 In the last 50 years, South Korea, Taiwan, Hong Kong and Singapore joined the league of industrialised nations, following the footsteps of Japan. China made impressive strides after 1990.

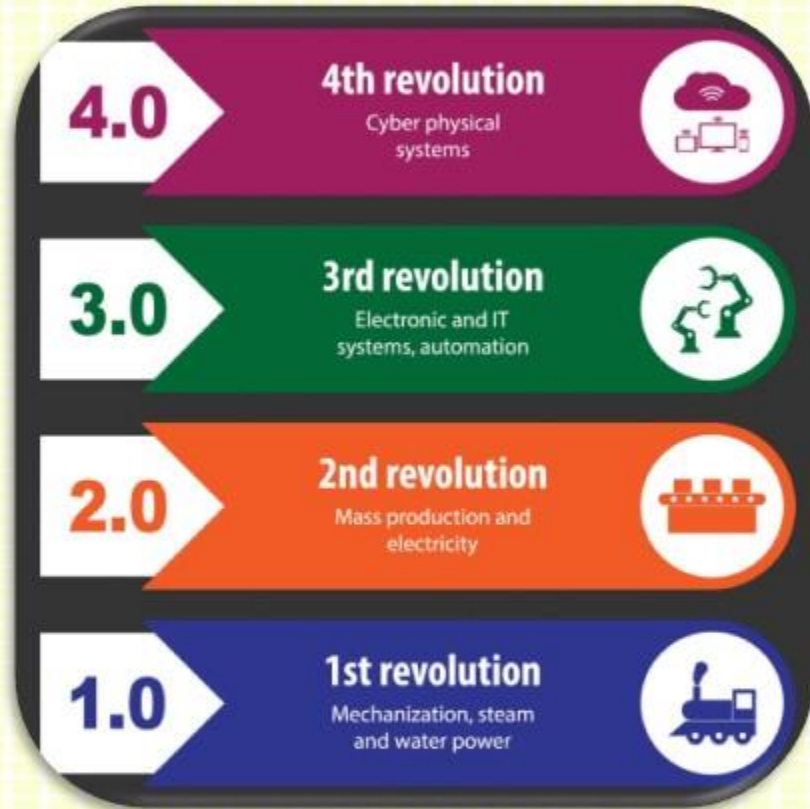
The growth performance of India, Bangladesh and Vietnam was most impressive during the past quarter century

LET US FIRST ANALYZE CHINESE STRATEGY IN BECOMING GLOBAL MANUFACTURING POWERHOUSE

- China learnt from the bad experience of Russia. In spite of having had cutting-edge technologies, Russia is yet to recover industrially. China
 - ✓ supported its state enterprises,
 - ✓ nurtured the newly emerging private ones, and
 - ✓ invited foreign investments, especially in labour intensive industries, in its new Special Economic Zones.
- China also followed joint ventures with global firms using the lure of its large market.
- It also kept its currency depreciated.
- The State financed the technical education of thousands of Chinese in the US and Europe and got them to return to work in China.
- Overall, China had the national goal of creating Chinese firms which in due course would become competitors first in the domestic market and then globally.

China and India have usually the same number of students in US universities, with the major difference being that most Chinese go back and work for China, whereas most Indians stay back and work for the US!

SUBSEQUENTLY ... CHINA UPPED ITS AMBITION TO BECOME WORLD LEADER IN NEW-AGE TECHNOLOGIES!



China wants to lead the Fourth Industrial Revolution!

- 1** China is unique in scale and in its determination to become a superpower, not just geopolitically, but also in new-age technologies.
- 2** It advanced purposefully from low-end mass manufacturing to a dominant role in global supply chains.
- 3** It now decided on shifting to advanced manufacturing and has set itself a target of becoming a world leader by 2035 in 5G, supercomputing, Internet of Things, Artificial Intelligence, autonomous vehicles etc.

NOW, LET US SEE WHAT HAPPENED IN COUNTRIES LIKE SOUTH KOREA, TAIWAN, SINGAPORE, HONG KONG!

1 Japan's post-war success is an example for several of these countries.

2 These countries made huge technological and industrial strides in the 1970s and 1980s.

3 South Korea climbed up the technology ladder and value chains in electronic goods, consumer durables, automobiles, micro-processors, personal computers and heavy machinery. It emerged as a global powerhouse in manufacturing.

4 Taiwan developed technologies and manufacturing capacities in robotics, semiconductors and micro-processors.

5 Singapore and Hong Kong adapted advanced technologies in niche areas.

Investments in R&D in majority of these countries was around 3 to 5% of GDP. If one looks at the R&D expenditure of India, it hovers around 0.7% of GDP.



THESE ARE KNOWN AS NEWLY INDUSTRIALISED ECONOMIES (NIEs)!

- The East Asian model is the story driven by Newly Industrialised Economies (NIEs) of Singapore, Hong Kong, South Korea and Taiwan, and Japan earlier.
- The rise of East Asian economies demonstrate that heavy investment and export led manufacturing paid dividends.
- The prime goal in these NIEs from 1960s through to the 1990s was to raise gross savings rates.

DIFFERENT STRANDS OF THE NEWLY INDUSTRIALISED ECONOMIES (NIEs)!

1 POWERFUL GOVERNMENTS

- Early on, when these countries were about at the same per capita income level as India is today, several East Asian economies were run by autocrats, who favoured a powerful but small Govt. focused almost exclusively on supporting export manufacturers.
- They invested heavily in roads and factories, not for welfare of the poor and weak.

But, it is quite contrast to India's deeply socialist and democratic culture.



2 FACILITATED COMPETITION

- South Korea encouraged the competition and then helped the winners become competitive in the global markets.
- Governments helped build financial, technical and marketing skills.
- It promoted, rather than thwarted, the development of private entrepreneurship.

But in India, the elections are fought on promises of welfare benefits for the poor, the elderly, etc.



DIFFERENT STRANDS OF THE NEWLY INDUSTRIALISED ECONOMIES (NIEs)!

3 CREATED MORE FACTORY JOBS

- In East Asia, welfare was conceived as a support system to keep industrial workers on the job.
- Helping the young, old and poor was seen as the responsibility of family, not the State.
- Rural workers got few welfare benefits, because the plan was to push them off the farms and into factories. However after Asian Financial Crisis, welfare benefits were expanded.

In India, State has predominantly taken the responsibility of welfare, rather than creation of the jobs.



4 LABOUR LAWS TO PROTECT CORPORATIONS

- East Asian model labour laws are designed to protect corporations, more than workers. The aim is to give absolute control to the management.
- In response to strikes in the 1960s, South Korean dictator Park Chung Hee imposed increasingly strict rules on unions, enforced by the police and soldiers.

In a democratic country like India, such controls may not be possible!



DIFFERENT STRANDS OF THE NEWLY INDUSTRIALISED ECONOMIES (NIEs)!

5 STRICT CONTROLS ON BANKS

- Private savings were actually intermediated into the formal financial system.
- Importance was given to the establishment of safe and secure public sector banking system and this was done in the form of postal savings networks.
- Focus for the Financial Inclusion was on actual use of deposit accounts rather than just their opening.

In a democratic country like India, it is free for all.



6 FINANCIAL REPRESSION

- They kept the ceiling price on interest with lending rates lower than the market equilibrium.
- Under normal circumstances, the money would have been gone out from the formal financial system. This could have led to shadow banking system, but central banks maintained tight oversight.

Even after 50 years of nationalization of Public Sector Banks, we are yet to see tangible governance reforms in PSBs.



DIFFERENT STRANDS OF THE NEWLY INDUSTRIALISED ECONOMIES (NIEs)!

7

SOPHISTICATED INDUSTRIAL POLICIES

- The Government undertook sophisticated industrial policies to promote domestic investment, much of which was export-led.
- It followed the policies of vertical industrial policy, picking up the winners, as well as sound horizontal industrial policy i.e. dealing with labour and land reforms.
- Incentives also had clear guidelines and sunset clauses.

*Lack of predictable policies
is the main concern in India!*



8

EMBEDDED ECONOMY

- The State was autonomous, but embedded within the private sector and enabled the two to work together to develop policies or change course, if the policies did not work.
- The industrial policy operated as a process of self-discovery.

*If such decisions are
taken in India, they will
be termed "Crony
Capitalism"!*



WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

98499 42299